

China A-share strategy

Global Markets Research
7 September 2026

Equity Strategy

A-share fundamentals improve further in 2Q26

Stay balanced: pair tech with defense

A-share fundamentals continued to improve in 2Q26

According to Wind, based on a like-for-like basis, aggregate revenue of A-share companies grew 9.18% y-y in 2Q26, or 6.51% excluding financials and the two oil majors (PetroChina and Sinopec), while net profit rose 25.76% and 18.90% y-y, respectively. Net profit growth reached its highest level since 2021, extending the improvement in fundamentals seen since 1Q26. Within the CSI 300, like-for-like revenue growth rebounded to 9.50% y-y in 2Q26, or 4.32% excluding financials and the two oil majors, while net profit growth improved to 23.05% and 10.02%, respectively. At the sector level, Electronics, Non-bank Financials and Non-ferrous Metals recorded the strongest y-y net profit growth. However, 14 of the 31 Shenwan Level 1 sectors still recorded negative y-y net profit growth, with Building Materials, Conglomerates, and Agriculture the weakest performers in 2Q26. The earnings recovery also remained highly concentrated. Communications, Electronics and Computers contributed a combined CNY274.71bn in net profit, while Petrochemicals, Coal and Non-ferrous Metals contributed CNY274.82bn. Banks and Non-bank Financials contributed a further CNY912.51bn. Together, these technology, resource and financial sectors accounted for 75.21% of total A-share net profit in 2Q26.

As turnover moderates, structural opportunities may re-emerge

Although A-share market volatility has shown tentative signs of easing over the past two weeks, we see several factors that could prolong the current consolidation: global geopolitical risks remain elevated, U.S. Treasury yields are still high, and following the sharp correction in July, the A-share market may also need more time to digest the still-elevated positioning and the trading congestion built up earlier. From a fundamental perspective, we believe the broad industry trends that have driven A-shares over the past two years remain intact. In our view, the latest correction in global technology stocks has been driven more by geopolitical and macro concerns and the unwinding of crowded positions than by a deterioration in the underlying industry trends. We therefore believe the correction could create another opportunity to build exposure to technology stocks. That said, until a clearer recovery trend emerges, we recommend maintaining a somewhat more defensive portfolio stance to limit the impact of further liquidity-driven volatility. Over the medium to long term, we believe the scale of China's capital markets and supportive policy backdrop should create opportunities for investors to generate long-term excess returns through a more diversified allocation to A-shares. Low domestic interest rates also enhance the relative appeal of dividend-paying stocks. If risk appetite remains unsettled and volatility stays high, their lower-volatility characteristics should continue to provide useful portfolio defense, in our view.

Balance technology exposure with defensive dividend holdings

In the near term, given overseas macro risks and the need for further consolidation as market turnover declines, we recommend a more balanced allocation strategy: (1) Within technology, focus on technology hardware, particularly memory, optical communications, power-supply systems, liquid-cooling equipment and gas turbines, where AI-driven demand is expanding but capacity remains constrained, as well as domestic computing hardware supported by policy tailwinds and robust industry demand; (2) Within dividend stocks, favor banks with modest capital requirements and the ability to sustain relatively high ROE and dividend yields; (3) Look for selective opportunities in domestic consumption and the property chain, where valuations have undergone substantial derating; and (4) Consider non-ferrous metals and energy, which could benefit if a weaker US dollar and resilient inflation persist. Over the medium to long term, we continue to favor the structural opportunities arising from China's industrial development. Once a clearer market uptrend is established, we would place greater emphasis on technology and dividend stocks within the allocation framework above. **Risks to our views:** Downside risks in the broader market; slower-than-expected progress in the AI-driven technological revolution, overseas macroeconomic and geopolitical risks; weaker-than-expected recovery in domestic demand.

Research Analysts

China A-share Strategy

Jin Song - NOI

noiresearch@nomura.com

SAC Registration No.: S1720519120002

Ting Gao - NOI

noiresearch@nomura.com

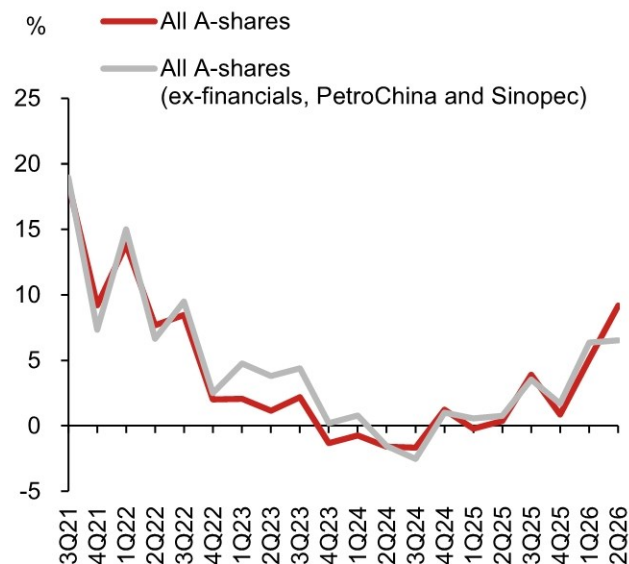
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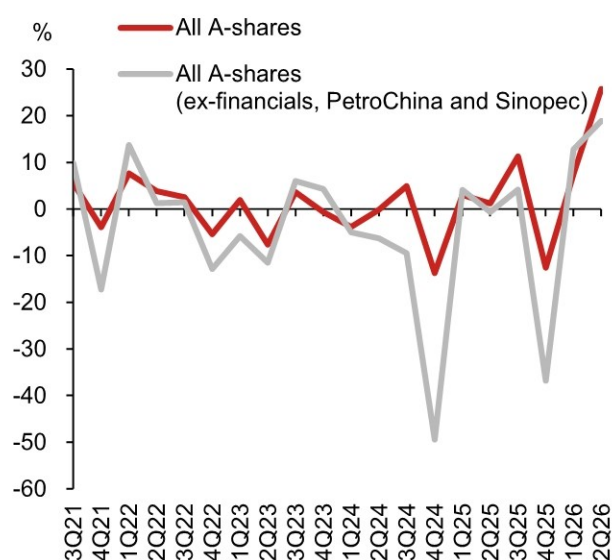
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Fig. 1: Quarterly revenue growth of all A-shares on a comparable basis (y-y)



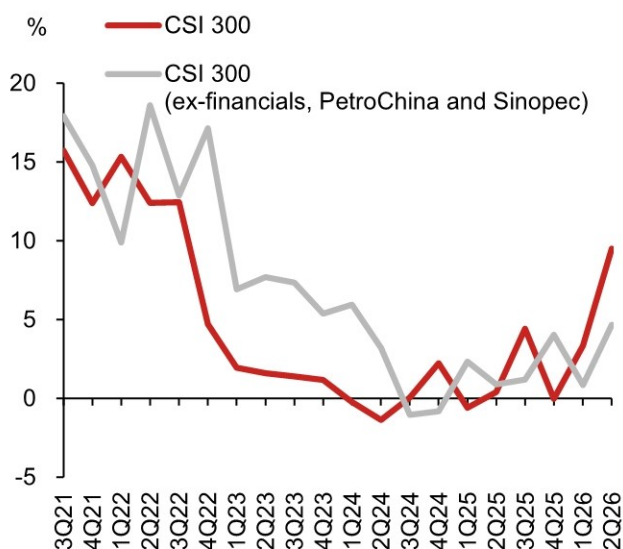
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Fig. 2: Quarterly net profit growth of all A-shares on a comparable basis (y-y)



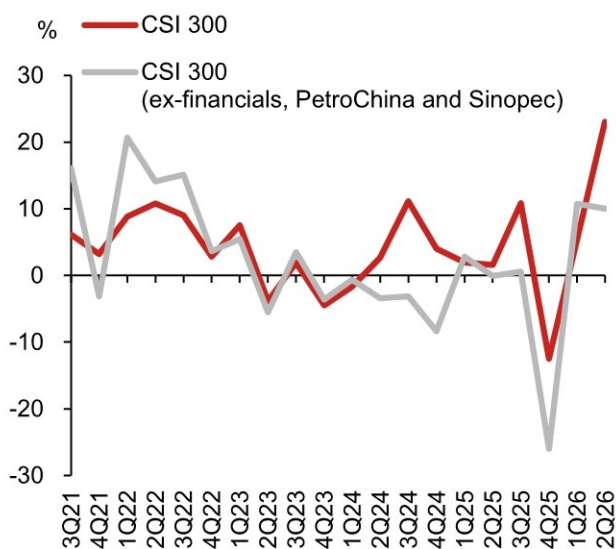
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Fig. 3: Quarterly revenue growth of CSI 300 constituents on a comparable basis (y-y)



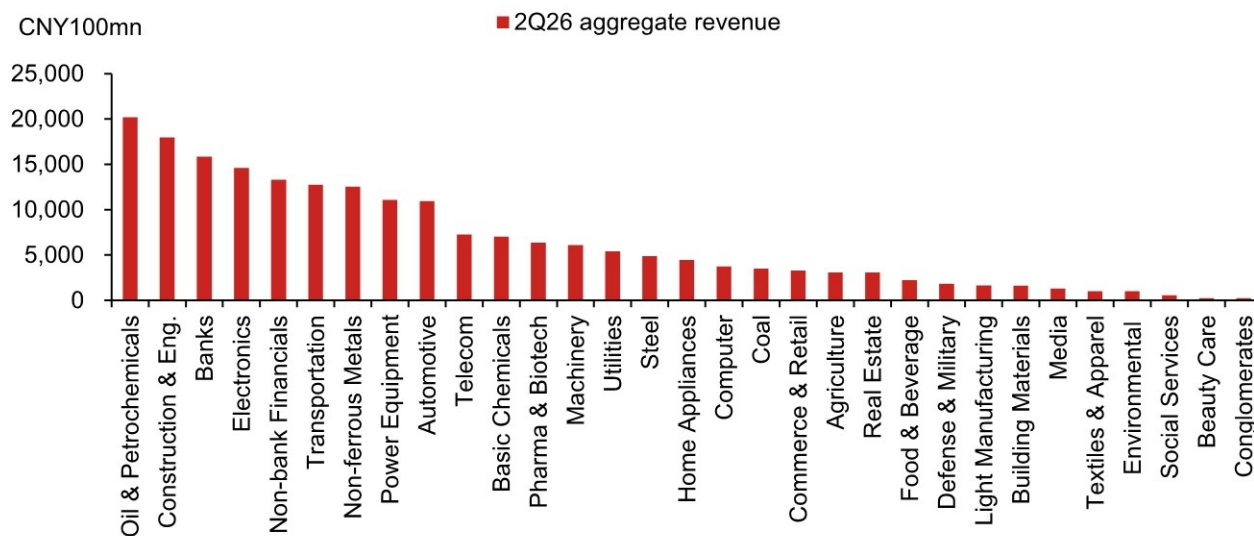
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Fig. 4: Quarterly net profit growth of CSI 300 constituents on a comparable basis (y-y)



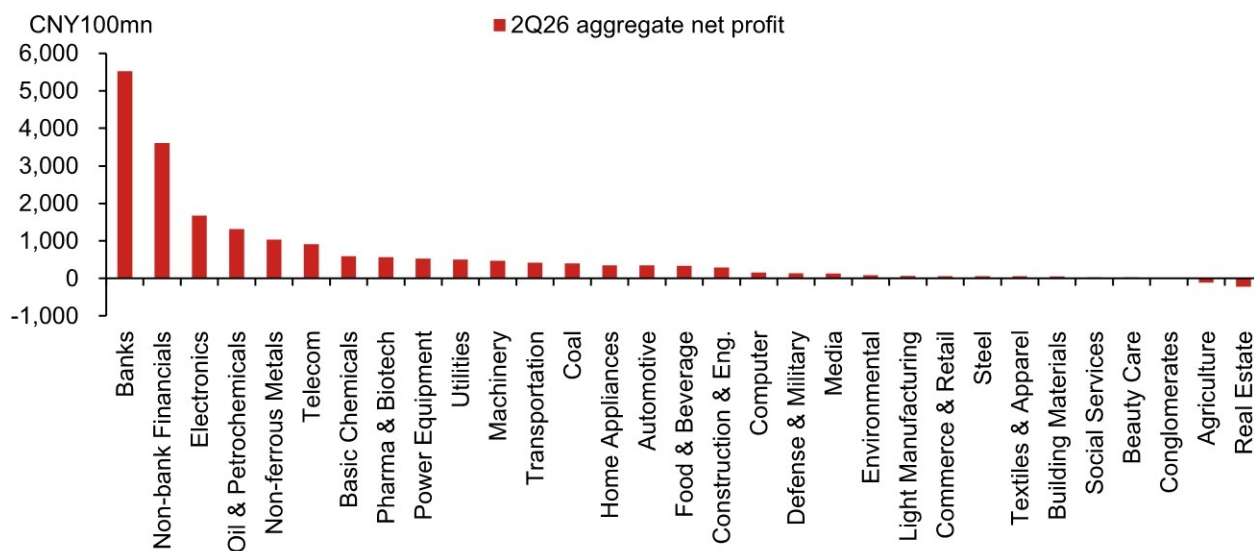
Source: Wind, Nomura

Fig. 5: Aggregate revenue by Shenwan Level-1 industry, 2Q26



Source: Wind, Nomura

Fig. 6: Aggregate net profit by Shenwan Level-1 industry, 2Q26



Source: Wind, Nomura

Fig. 7: 2Q26 revenue and net profit y-y growth by Shenwan Level-1 industry (ranked by net profit growth)

Industry	2Q26 revenue growth	2Q26 net profit growth
Electronics	41.84%	232.44%
Non-bank Financials	53.84%	134.78%
Non-ferrous Metals	27.26%	101.69%
Coals	32.78%	66.46%
Oil & Petrochemicals	11.19%	58.34%
Basic Chemicals	16.24%	58.17%
Commerce & Retail	0.86%	47.17%
Computer	13.45%	44.77%
Defense & Military	11.52%	30.66%
Power Equipment	19.07%	25.53%
Media	0.60%	22.13%
Environmental Protection	10.85%	15.92%
Beauty Care	2.35%	15.77%
Pharma & Biotech	2.21%	12.48%
Machinery	10.52%	11.12%
Telecommunications	5.83%	6.86%
Banks	7.24%	2.92%
Home Appliances	-0.01%	-4.87%
Textiles & Apparel	-16.02%	-8.91%
Light Manufacturing	5.65%	-10.71%
Transportation	7.94%	-14.04%
Social Services	1.83%	-14.29%
Steel	0.70%	-17.21%
Utilities	-1.05%	-17.79%
Food & Beverage	-4.81%	-18.75%
Automotive	3.75%	-19.17%
Real Estate	-22.97%	-22.79%
Construction & Engineering	-12.19%	-35.64%
Building Materials	-8.83%	-47.68%
Conglomerates	-9.69%	-81.05%
Agriculture	-4.83%	-185.85%

Source: Wind, Nomura

Appendix A-1

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